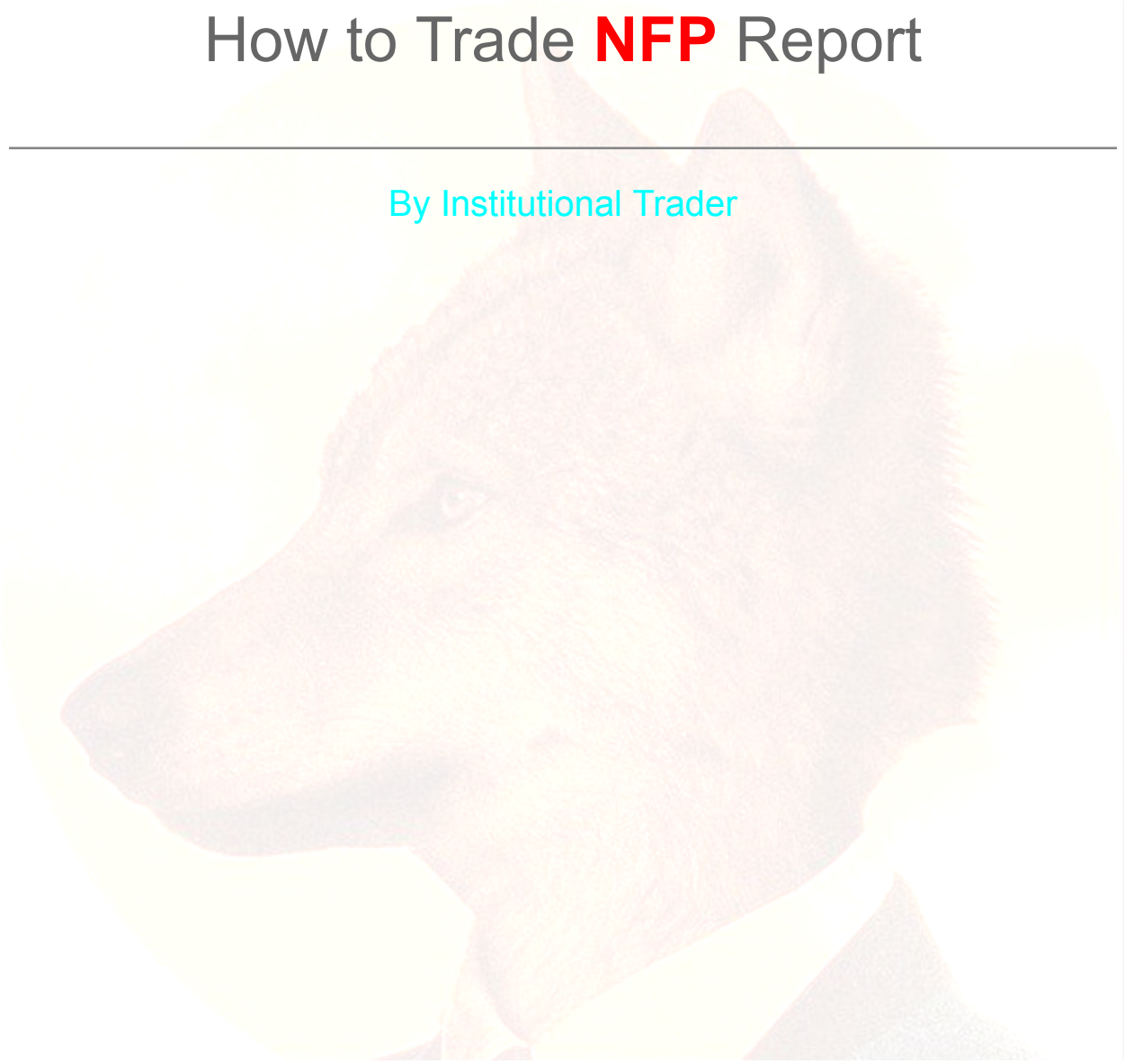


How to Trade NFP Report

By Institutional Trader

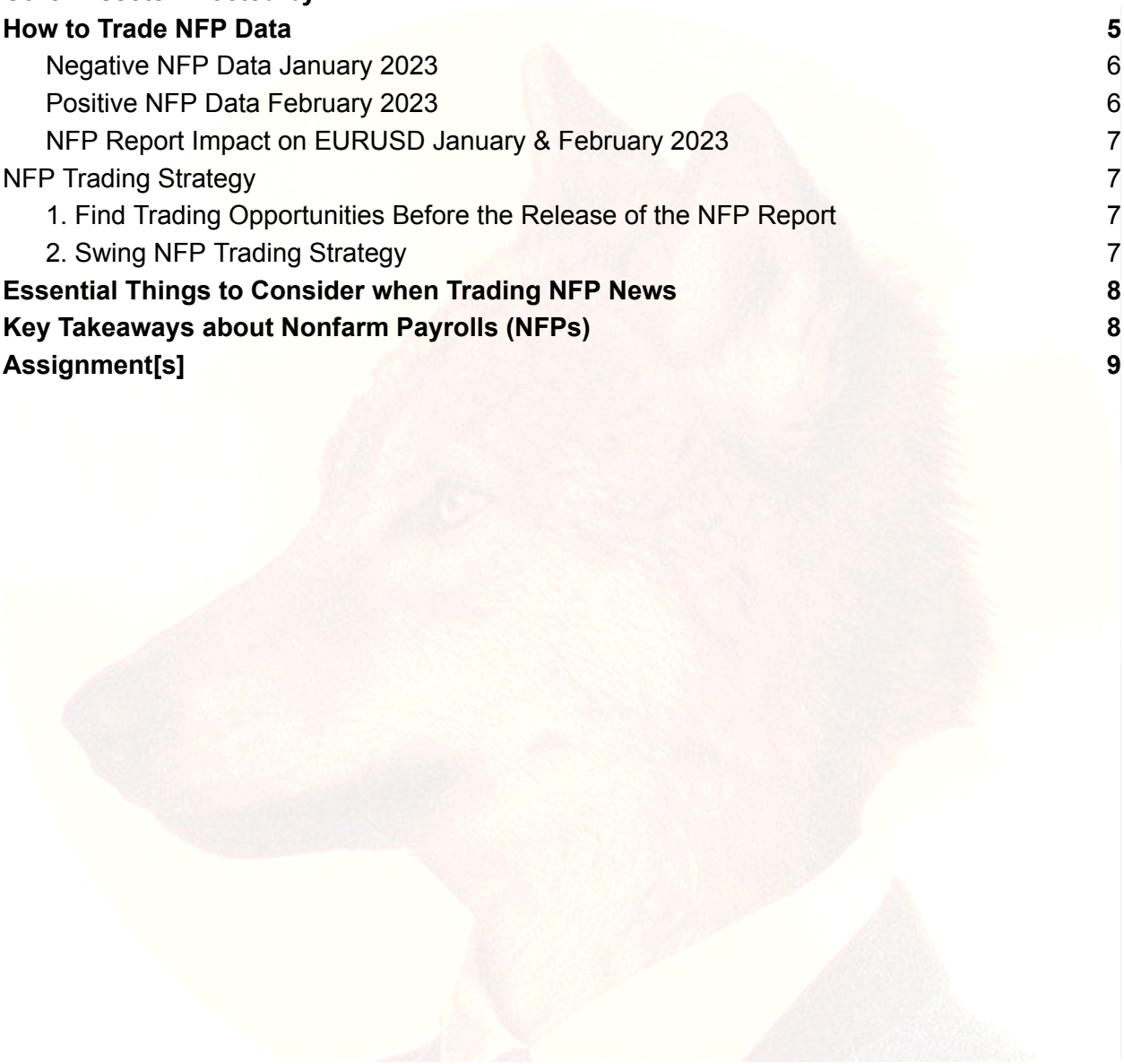
How to Trade **NFP** Report

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The NFP report is considered a key economic indicator, as it provides insight into the overall health of the U.S. economy.

Traders often closely monitor the report, as it provides valuable information on the state of the US labor market, including job creation, wage growth, and the unemployment rate.

However, trading the NFP report can be challenging, as it can cause significant price movements and volatility.

In this **How to Trade NFP** article, we will explore some tips and strategies for trading NFP, including how to prepare, what to look for, and how to manage risk.

What is NFP?

NFP stands for **Non-Farm Payrolls**, a report published by the U.S. Bureau of Labor Statistics on the first Friday of every month.

The report provides data on the number of people employed in the non-farm sector, including manufacturing, construction, and services.

The report also includes the unemployment rate, average hourly earnings, and average workweek.

This data can help analysts and policymakers to understand trends in the labor market, including wage growth and the availability of jobs.

As the name suggests, farm workers are excluded from the statistics, but so are several other categories of employees, including;

- ★ Employees of non-profit organizations.
- ★ Private household employees.
- ★ Unincorporated self-employed workers.

This nonfarm classification reportedly accounts for approximately 80% of workers who contribute to the Gross Domestic Product (GDP).

What do you need to Look for in an NFP Report?

When looking at an NFP report, there are 5 key factors that you should pay attention to;

1. **Non-Farm Payrolls Number:** This is the headline number that shows the total number of jobs added or lost in the US economy during the previous month. This is the most closely watched metric in the report.

2. **Unemployment Rate:** This shows the percentage of the unemployed labor force and actively seeking work. A higher unemployment rate can indicate weakness in the economy, while a lower rate can suggest strength.

3. **Average Hourly Earnings:** This is the average hourly wage for non-farm workers. Rising wages can suggest inflationary pressures, leading to higher interest rates.
4. **Labor Force Participation Rate:** This is the percentage of the working-age population that is either employed or actively seeking work. A higher rate can suggest strength in the labor market and the overall economy.
5. **Revisions:** The report also includes revisions to the previous two months' data, which can provide insight into the accuracy of initial estimates and the direction of trends.

Important!

You should analyze these metrics and their potential impact on the market to make informed trading decisions based on your strategies and risk tolerance.

Why the NFP Matters to Traders

Traders and investors closely watch the NFP report because it can have a significant impact on financial markets, including the Forex market.

The report can cause volatility and sharp price movements, influencing decisions related to investments and monetary policy.

Traders use the NFP report to gauge the health of the US economy and make trading decisions based on the data provided in the report.

The NFP report also provides information on the unemployment rate and the average workweek, which can help traders understand trends in the labor market and make informed trading decisions.

Currency Pairs Affected by NFP News

Here are some currency pairs that are commonly affected by the NFP report;

- **EUR/USD:** A positive NFP report can lead to a stronger US dollar and a weaker Euro, while a negative NFP report can lead to the opposite.
- **GBP/USD:** As with the EUR/USD pair, a positive NFP report can lead to a stronger US dollar and a weaker British pound, while a negative NFP report can lead to the opposite.
- **USD/JPY:** A positive NFP report can lead to a stronger US dollar and a weaker Japanese yen, while a negative NFP report can lead to the opposite.

Other Assets Affected by NFP

Here are some assets that are commonly affected by the NFP report;

- ✔ **Stocks:** The NFP report can impact stock markets, as it provides insights into the health of the US economy. A strong NFP report, indicating positive employment growth, can lead to an increase in stock prices, while a weaker report can lead to a decline.
- ✔ **Commodities:** Commodities such as **oil** and **gold** can also be affected by the NFP report, as it can provide insights into the overall strength of the US economy and global demand for these assets.
- ✔ **Bonds:** The NFP report can also impact bond markets, as it can influence the decisions of the Federal Reserve regarding interest rates. A strong NFP report may lead to an increase in interest rates, leading to a decline in bond prices.

In a nutshell, the NFP report is a crucial economic indicator that can impact a wide range of financial assets.

It is important for you to stay informed about the potential effects of the report on the specific assets they are trading and to use technical analysis and risk management techniques to make informed trading decisions.

How to Trade NFP Data

Positive NFP data, such as job creation and wage growth, can lead to a bullish outlook on the US dollar, while negative data can lead to a bearish outlook.

When the NFP data is positive, it means that the number of jobs added to the economy was higher than expected, which indicates that the economy is growing and expanding.

This often leads to positive reactions in financial markets, such as increased stock prices and a stronger US dollar.

Negative NFP Data January 2023

Calendar | Economic Calendar | Interest Rates | Holidays

Date	Time left		Event	Impact	Previous	Consensus	Actual
Friday, Jan 06, 2023							
Jan 06, 10:00	✓	EUR	Retail Sales MoM (Nov)	HIGH	-2.8%	1%	1.1%
Jan 06, 10:00	✓	EUR	Retail Sales YoY (Nov)	HIGH	-5%	-4.3%	-5.9%
Jan 06, 10:30	✓	CHF	Retail Sales MoM (Nov)	HIGH	-2.3%	1.6%	1.5%
Jan 06, 10:30	✓	CHF	Retail Sales YoY (Nov)	HIGH	-2.6%	-1.8%	-1.3%
Jan 06, 13:00	✓	EUR	Retail Sales YoY (Nov)	HIGH	-4%	-1.1%	-0.4%
Jan 06, 13:00	✓	EUR	Retail Sales MoM (Nov)	HIGH	-4.4%	0.3%	-0.3%
Jan 06, 13:00	✓	EUR	Retail Sales MoM (Nov)	HIGH	-1.5%	0.5%	0.8%
Jan 06, 13:00	✓	EUR	Retail Sales YoY (Nov)	HIGH	-2.6%	-3.3%	-2.8%
Jan 06, 13:00	✓	EUR	Inflation Rate YoY (Dec) P	HIGH	10.1%	9.7%	9.2%
Jan 06, 13:00	✓	EUR	CPI (Dec) P	HIGH	120.95	121.2	120.53
Jan 06, 16:30	✓	CAD	Unemployment Rate (Dec)	HIGH	5.1%	5.2%	5%
Jan 06, 16:30	✓	CAD	Employment Change (Dec)	HIGH	10.1K	8K	104K
Jan 06, 16:30	✓	USD	Non Farm Payrolls (Dec)	HIGH	256K	200K	223K
Jan 06, 16:30	✓	USD	Unemployment Rate (Dec)	HIGH	3.6%	3.7%	3.5%
Jan 06, 16:30	✓	USD	Nonfarm Payrolls Private (Dec)	HIGH	202K	180K	220K
Jan 06, 18:00	✓	CAD	Ivey PMI s.a (Dec)	HIGH	51.4	51	33.4
Jan 06, 18:00	✓	USD	ISM Non-Manufacturing PMI (Dec)	HIGH	56.5	55	49.6

Positive NFP Data February 2023

Calendar | Economic Calendar | Interest Rates | Holidays

Date	Time left		Event	Impact	Previous	Consensus	Actual
Friday, Feb 03, 2023							
Feb 03, 04:45	✓	CNY	Caixin Services PMI (Jan)	HIGH	48	52	52.9
Feb 03, 11:15	✓	EUR	S&P Global Services PMI (Jan)	HIGH	51.6	52.5	52.7
Feb 03, 11:45	✓	EUR	S&P Global Services PMI (Jan)	HIGH	49.9	51	51.2
Feb 03, 11:55	✓	EUR	S&P Global Services PMI (Jan)	HIGH	49.2	50.4	50.7
Feb 03, 12:00	✓	EUR	S&P Global Services PMI (Jan)	HIGH	49.8	50.7	50.8
Feb 03, 12:30	✓	GBP	S&P Global/CIPS UK Services PMI (Jan)	HIGH	49.9	48	48.7
Feb 03, 16:30	✓	USD	Nonfarm Payrolls Private (Jan)	HIGH	269K	190K	443K
Feb 03, 16:30	✓	USD	Unemployment Rate (Jan)	HIGH	3.5%	3.6%	3.4%
Feb 03, 16:30	✓	USD	Non Farm Payrolls (Jan)	HIGH	260K	185K	517K
Feb 03, 17:45	✓	USD	S&P Global Services PMI (Jan)	HIGH	44.7	46.6	46.8
Feb 03, 18:00	✓	USD	ISM Non-Manufacturing PMI (Jan)	HIGH	49.2	50.4	55.2

NFP Report Impact on EURUSD January & February 2023



NFP Trading Strategy

1. Find Trading Opportunities Before the Release of the NFP Report

You need to spot your trading setup before the actual report time and place your pending orders.

Take a keen look at the price action, and find confirmation on HTF that aligns with your entry setups in LTF.

2. Swing NFP Trading Strategy

The NFP strategy is a great approach if you want to capitalize on long-term trends.

One key factor impacting these trends is the unemployment rate, which often influences price movements in the direction indicated by the NFP report.

Additionally, you can supplement your strategies with the swing approach, but you should also remain cautious of fake market signals.

If you are trading the XXX/USD pair during the NFP release, you should be aware that this can be a risky yet rewarding opportunity, as the report has the potential to generate substantial movements in the currency markets.

Refer to the NFP report data on January and February 2023 and the chart shown above.

Essential Things to Consider when Trading NFP News

Here are some important things to consider when trading the NFP news;

- **Stay informed:** Monitor economic calendars and news sources to stay informed about the release time and expectations for the NFP report.
- **Determine the market sentiment:** Consider the current market sentiment and how the report may impact it. For example, if the market is bullish on the USD, a positive NFP report may strengthen the USD even further.
- **Set up your trading strategy:** Decide on your trading strategy, including your entry and exit points, stop-loss levels, and risk management plan.
- **Be prepared for volatility:** The release of the NFP report can cause significant volatility in the currency markets. Be prepared for rapid price movements and potentially large price swings.
- **Use Smart Money Concept analysis:** Use SMC analysis indicators such as institutional support and resistance levels, Supply and Demand, Market Directional Imbalance, and Liquidity to help identify potential entry and exit points.
- **Consider the HTF trend:** Keep the HTF trend in mind. High-impact news often acts as a catalyst and the market tends to move in line with the HTF Market Direction.

Remember, trading during high-impact news events such as the NFP report can be risky and should only be attempted by experienced traders with a solid understanding of the market and risk management techniques.

Key Takeaways about Nonfarm Payrolls (NFPs)

- ✔ Nonfarm payrolls (NFPs) is a monthly report released by the U.S. Bureau of Labor Statistics that provides data on the number of jobs added or lost in the economy outside of the agricultural sector.
- ✔ The report is closely watched by economists, investors, and policymakers as an indicator of the overall health of the U.S. economy.
- ✔ The NFPs report includes data on the total number of jobs added or lost, as well as data on the unemployment rate and average hourly earnings for workers.
- ✔ The report breaks down job gains and losses by industry sector, including manufacturing, construction, retail, healthcare, and more.
- ✔ A higher-than-expected number of jobs added in the NFPs report can signal strong economic growth and potentially higher inflation, while a lower-than-expected number of jobs added can signal weakness in the economy.

- ✔ The Federal Reserve may use the NFPs report to help inform its monetary policy decisions, such as whether to raise or lower interest rates.
- ✔ Other countries also release their own versions of nonfarm payroll reports to track job growth in their respective economies.

Assignment[s]

1. Create a Demo account using this link: https://one.exness-track.com/a/17eqnrbs54
2. Go to https://www.myfxbook.com/forex-economic-calendar and download all NFP data reports for 2021.
3. Go to your Demo account, mark how prices behaved during those dates, and see how prices behaved throughout that month.
4. Share your assignment with this group https://t.me/joinchat/VJk8Lms0UEbBs54V